

Why is this happening?

This shows us that the raw material price has cyclical properties. This means that when the price is high, the cost of goods sold by the company is high; when the price is low, the cost of goods sold by the company is low. **The raw material prices for the company keeps moving in a cyclical manner and the company does not pass on those changes to the end users.**

For Pidilite, the raw material is related to crude oil, of which price differs from time to time in a cyclical manner. We can say that company makes higher profits when crude oil prices are low and vice versa.

Employee Expenses

It follows an increasing trend from 10% in FY 2016 and 11% in 2017 and 2018 and 13% in FY 2021. This is generally a warning sign.

COMMON SIZE INCOME STATEMENT						
PARTICULARS	FY 2016	FY 2017	FY 2018	FY 2019	FY 2020	FY 2021
Revenue from Operations	100%	100%	100%	100%	100%	100%
Operating Expenses -						
Cost of goods sold	45%	44%	46%	51%	47%	46%
Employee Benefit Expense	10%	11%	11%	12%	13%	13%
Depreciation and Ammortisation	2%	2%	2%	2%	2%	3%
Other operating expenses:						
Clearing, forwarding and octroi duty	4%	4%	4%	4%	4%	5%

However, we need to see if there are any fundamental changes in the business? If not, we need to consider that the increasing trend of employee expenses will directly impact the company's profitability. This can be understood through discussions with management or reading the Annual Report of the company if the same is addressed.

Depreciation and Amortization

As seen, depreciation as a percentage of revenue is pretty much the same and has not changed much over the years. However, it has been on the rise in the last few years. However, we also see that the assets have been increasing as well. The reason behind this might be the fact that the company is buying more assets.

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Thus, we must evaluate the reasons behind this trend and whether it will harm or benefit the company in the future. We need to draw insights from these numbers and understand their reason.